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China Financials | Asia Pacific

Recent outbound investment policies: gauging the true impact

We believe the new State Council outbound investment rules are aimed at protecting outbound business investments rather than focusing on household financial investments. Enforcement of investment account services for mainland residents is about proper licensing requirement.

New State Council regulation on outbound investments is aimed at formal legislative process to protect Chinese overseas business investments rather than aiming at household financial investments: First, during the State Council press conference announcing the new rules, only the Ministry of Justice, the NDRC and the Ministry of Commerce were present – none of the financial regulators were involved. We view that as a clear sign that it is a policy that targets Chinese overseas investment in real businesses or large stakes in overseas companies rather than normal financial investments by households. With China's outbound investments rising, we believe the goal is to set up a centralized legislative framework to systematically protect Chinese outbound investments and long-term businesses interests and replace the various prior regulations. China's financial firms are also increasing support for expansion of Chinese overseas investment; this should help contain long-term financial risks, in our view.

We think the CSRC is focusing on cleanup of cross-border stock trading happening onshore – the insurance business already went through similar changes many years ago: We do not believe this is linked to the new State Council Outbound investment rules. Under the current enforcement standards, residents of mainland China can continue to open and operate their investment accounts while physically in Hong Kong, but can no longer access key online investment functions while in mainland China – essentially the same standards that apply to insurance businesses. This is echoed by the HK SFCs' circular and clarification. We also see limited risks to the annual quota of US\$50,000 FX exchange for households. Based on financial data that we track, we also believe household capital outflows remain in a reasonable range and are not a key concern behind these new rules. That said, we believe data exchange via CRS to the onshore tax authority over mainland residents' overseas investment activities will continue, which is not new and not related to these new developments.

Concerns about AIA, HSBC, and Standard Chartered look overdone; HKEX will remain a long-term beneficiary of expanding formal capital connect channels between the mainland and Hong Kong: We believe tech and industrial upgrades will continue to help Chinese companies gain global market share and generate wealth in overseas markets. Together with legal capital account flow from mainland China, this should continue to drive healthy business growth for major financial firms in Hong Kong.

MORGAN STANLEY ASIA LIMITED+

Richard Xu, CFA

Equity Analyst

Richard.Xu@morganstanley.com

+852 2848-6729

Chiyao Huang

Equity Analyst

Chiyao.Huang@morganstanley.com

+852 3963-4624

Rick Zhao

Equity Analyst

Rick.Zhao@morganstanley.com

+852 2239-7033

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

Nick Lord

Equity Analyst

Nick.Lord@morganstanley.com

+65 6834-6746

MORGAN STANLEY EUROPE S.E., MADRID BRANCH+

Alvaro Serrano

Equity Analyst

Alvaro.Serrano@morganstanley.com

+44 20 7425-6942

MORGAN STANLEY ASIA LIMITED+

Beryl Yang

Research Associate

Beryl.Yang@morganstanley.com

+852 3963-2224

Chenqian Liu

Research Associate

Chenqian.Liu@morganstanley.com

+852 3963-0359

MORGAN STANLEY ASIA (SINGAPORE) PTE.+

Aitong Li

Research Associate

Aitong.Li@morganstanley.com

+65 6834-6295



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Industry View

Attractive

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Outbound Investment Regulation: More About the Real Economy Going Global Than Household Capital Flight

We think the new State Council Regulation is primarily an institutional framework for the real economy's outbound investment, not a broad tightening of household financial investment or a reversal of capital account opening.

The regulation defines outbound investment as obtaining ownership, control, operating-management rights or other interests in overseas enterprises/assets through assets, equity, financing, or guarantees. It also repeatedly frames the policy around high-quality opening-up, Belt and Road, overseas risk management, investor protection, and cross-border operating compliance.

In fact, during the State Council press conference announcing the new rules, only the Ministry of Justice, the NDRC and the Ministry of Commerce were present. None of the financial regulators were involved.

Also, the new rules are categorized as commerce, customs, travel, and foreign economic cooperation under the State Council document categories.

That being said, we think financial firms, which are increasingly supporting expansion of China's overseas investment, will also benefit from systematic guardrails to protect outbound investments because they can contain long-term financial risks associated with these investments.

State Council regulation – key focus area is real investment, not financial investment

The core policy architecture is centered on Outbound Direct Investment (ODI)/real investment. The regulation supports market-based outbound investment, investor autonomy, and overseas service systems covering legal, fiscal/tax, financial, trade, logistics, immigration, customs, and trade promotion resources. Importantly, the main policymaking and enforcement roles are assigned to the State Council's investment and commerce authorities, while financial regulators are not the lead drafters/enforcers in this State Council regulation. In fact, financial matters such as FX conversion, cross-border services, data, tax, SOE supervision and others are left to existing laws and rules.

This is why we do not read the document as evidence of immediate "capital flight control." This is in line with our macro team's view – the report [Why China Is Rewiring Outbound Investment](#) explicitly states that "it's not about stopping capital flight," arguing that China's balance of payments has shifted into a "mirror image" structure, in which a large current account surplus is increasingly recycled into overseas assets by non-official actors rather than accumulated as PBOC FX reserves.

Rationale behind the State Council Regulation: addressing geopolitical, country risk, and competitiveness framework as companies are going global

The more important policy signal is that policymakers would like Chinese enterprises to go global in a safer, more organized and more strategically controlled way.

Article 4 of the State Council regulation explicitly refers to aligning with high-standard international trade rules, promoting high-quality Belt and Road cooperation, building multilateral/bilateral investment cooperation mechanisms, participating in international investment-rule formulation, and supporting industrial chain/supply chain cooperation.

We think one of the main considerations in establishing this framework is to help companies better assess the foreign operating environment and potential uncertainties related to geopolitics.

The regulation also emphasizes national security review, overseas safety/risk alerts, dispute resolution, protection of Chinese citizens and enterprises overseas, and countermeasures against discriminatory foreign restrictions.

The government will also have much greater bargaining power than individual companies when negotiating more favorable terms with foreign governments over trade and investments.

Formalizing current regulation via a legislative process

With China's rising outbound investments, we believe the goal is to set up a centralized legislation framework to systematically protect China's outbound investments and long-term businesses interests and replace the various prior regulations. This is also an effort to improve the regulatory process, which is also evidenced in the consultation paper on China's Financial Law that provides an overarching legal framework on all financial activities in China.

We don't see much read-across to outbound financial activities

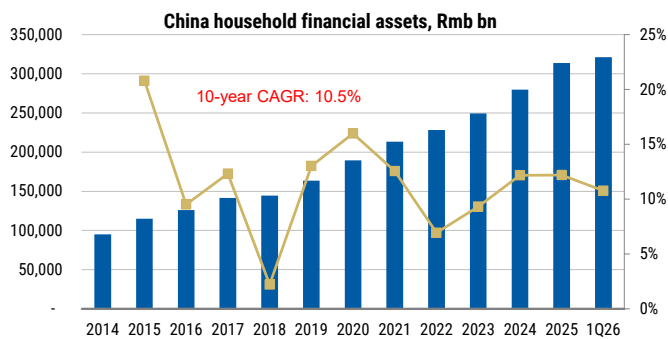
Retail outbound investment is briefly mentioned, but clearly not the core of this policy. It appears only at the end of the regulation – Article 33 says that investments in overseas financial markets using own funds, raised funds, or other entrusted funds shall be governed by this regulation and other national rules, and that detailed rules for resident individuals' outbound investment will be formulated by the State Council's investment and commerce authorities. This indicates that retail/portfolio investment is acknowledged but not the center of the document.

It's improper to frame this regulation as prompted by capital outflow pressures – the data simply don't support that

Our tracking of household data also does not support outsized capital outflow – household financial asset growth remained above 10%, but household income increased only 4-5%. An outsized capital outflow from households would imply much higher income growth than 4-5% given still robust household financial asset growth, which we view as questionable.

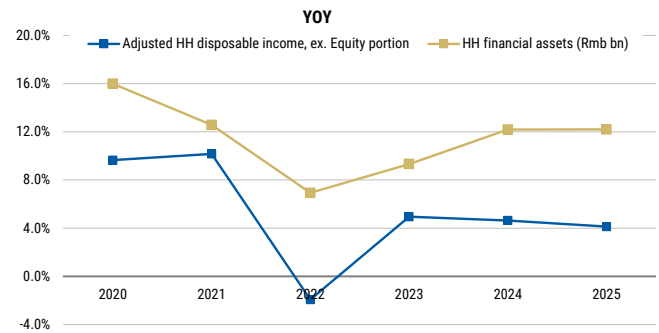
Our channel checks with banks indicated that they generally saw good capital inflow and abundant liquidity from more FX settlement as RMB appreciated. PBOC liquidity withdrawal over recent months also provides evidence that policymakers have no intention to control capital outflow [amid healthy FX inflows and RMB appreciation](#).

Exhibit 1: Household financial asset growth remained above 10%...



Source: CEIC, WIND, PBOC, SSE, Trust Association, AMAC, NFRA, China Bank Association, Morgan Stanley Research

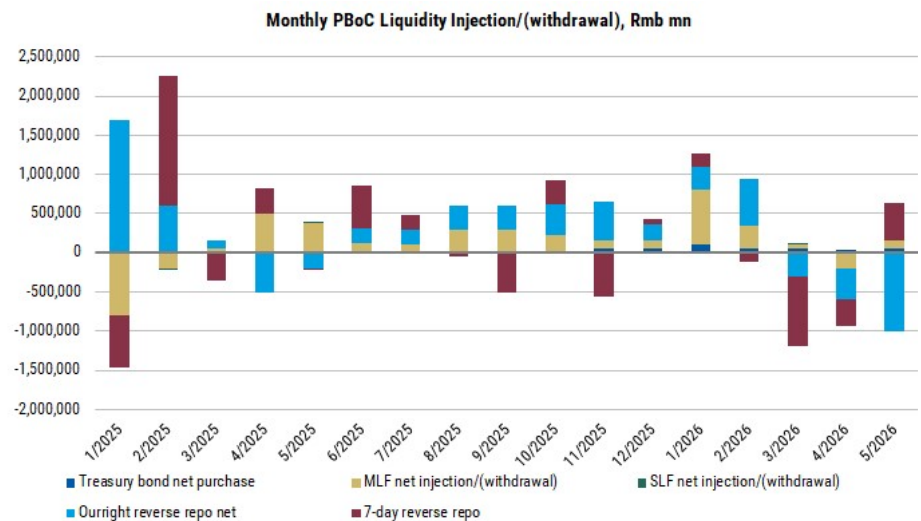
Exhibit 2: ...but household income increased only 4-5% in 2023-2025



Source: CEIC, WIND, PBOC, SSE, Trust Association, AMAC, NFRA, China Bank Association, Morgan Stanley Research

Exhibit 3:

The PBOC withdrew liquidity over the past three months



Source: PBOC, CEIC, Morgan Stanley Research

The CSRC's recent cleanup of cross-border stock trade: the focus is on activities taking place onshore

In a nutshell, what will be affected: Mainland investors directly trading overseas stocks from onshore – this will no longer be allowed.

What will not be affected: Opening investment accounts, bank accounts, trading, or buying insurance when physically taking place offshore.

The CSRC led the [Notice on the Implementation Scheme for the Comprehensive Rectification of Illegal Cross-Border Securities, Futures, and Fund Business Activities](#) on 22 May. That plan aims to stop offshore institutions illegally conducting securities brokerage business in mainland China, including apps and social media accounts providing marketing, account-opening guidance or trading services to onshore investors. It sets a two-year rectification period:

- During the period, offshore institutions are prohibited from providing new buy trades or fund-in services to existing onshore investors in China, while sell trades and fund-out are allowed.
- After the rectification period, illegal onshore websites, trading software, and supporting servers should be fully shut down.

Though it's a continuation of the cross-border tightening in 2022, we think the bigger picture is the deliberation of Financial Law, which underwent a consultation phase in March 2026.

Effectively, we think regulators and lawmakers are trying to set up a comprehensive legal framework to ensure that all financial activities are properly regulated and licensed....

...which is good for long term risk prevention.

The targeted area is very clear: onshore activities

Based on its Notice, we think the CSRC aims to clean up cross-border stock trading that is physically taking place onshore. The rationale is straightforward:

1. There is no such license in Mainland China that would allow brokers to offer direct overseas stock trading (except for via Stock Connect) to onshore investors.
2. Foreign brokers without local license are not allowed to solicit or serve clients from onshore – these are regulated activities.

However, contrary to some market concerns, the regulator has never indicated that the goal is to force closure of mainland investors' investment accounts overseas – this has been confirmed by a report from a PBOC-affiliated medium, the *Financial Times*.

Regarding the HK SFC's circular on 22 May, it clearly stated that forced account closure will be applied only to fraudulent accounts – those using forged documents or dormant

accounts. We think this is justified by anti-money laundering concerns that do not apply only to mainland Chinese accounts.

Activities happening offshore are governed by rules in that particular jurisdiction

We understand that opening investment accounts for non-local residents is a legitimate and standard practice for HK and many other markets under local regulatory frameworks, as long as KYC and AML conditions are met.

The HK SFC's circular on 22 May required that HK-licensed brokers should apply additional requirements when opening accounts for mainland customers visiting HK.

On June 10, 2026, the SFC further clarified that licensed companies could still open accounts for qualified investors from mainland China, on the premise that funds are all from offshore legally, and because KYC and due diligence are strictly followed.

On the other hand, the SFC also instructed HK brokers to observe overseas rules when serving residents in that jurisdiction. This means even though account opening is permissible, HK brokers cannot provide trading services to mainland customers when they are physically onshore. We think this aligns exactly with the CSRC's requirements.

Separately, ordinary bank account opening, which is overseen by the HKMA, is not a target of the CSRC's recent Notice

This underscores the fact that many mainland Chinese residents do have lawful income generated offshore – such as working overseas or doing export business. This is a direct spillover result of China's wealth creation from supply chain competitiveness and should continue to benefit offshore financial firms that service related asset allocation demand taking place outside of mainland China.

We think regulators will gradually open up official outbound financial investment channels

The policy direction is therefore not an effort to “ban all offshore accounts” but rather to push flows into official channels, such as QDII, Southbound Stock Connect, and Wealth Management Connect. The opening up of the official channels is a gradual process, and investors currently still see some constraints from quotas, eligibility, regional restriction,s and closed-loop management, which [our macro team](#) has also pointed out.

Take QDII as an example – [China Daily](#) reported that SAFE granted 78 financial institutions a combined US\$5.3bn of new QDII quotas in March 2026, lifting the total QDII quota to US\$176.2bn. It described QDII as a key channel for outbound portfolio flows because China's capital account is not fully liberalized.

Insurance: limited impact on cross-border insurance sales

After the recent clampdown on cross-border stock trading, there are some concerns about the sustainability of MCV (Mainland Chinese Visitor) insurance sales. However, we believe the impact could be limited and cross-border insurance sales will not be affected. Insurance sales went through a similar exercise many years ago, with insurance sales activities now required to take place in Hong Kong when policy buyers are physically in Hong Kong.

The HKIA (Hong Kong Insurance Authority) has also responded to recent developments on June 1 with three key areas of emphasis:

1. It has maintained close communication with relevant regulatory authorities in mainland China.
2. It has reiterated that the entire insurance sales process must occur in Hong Kong.
3. Licensed agents and intermediaries are not allowed to solicit insurance sales in mainland China under the current regulatory regime.

We think regulators' key focus is still on prohibiting illegal sales activities, including "underground insurance policies," direct selling in the mainland, and unlicensed activities. We have not seen changes in regulatory tone over the past two weeks.

Cross-border insurance sales, which have existed for over two decades, are a different activity from cross-border security investment and trading.

In terms of regulation of MCV business, the regulatory inspection primarily focuses on illegal insurance sales.

We've seen several rounds of actions taken by the HKIA or even joint operations with the ICAC (Independent Commission Against Corruption) – including the arrest of several persons involved in "underground insurance policies," direct selling in mainland China, etc.

While there's tightening on setup of online bank accounts at HK banks, in-person bank account setup remains available for MCVs at most HK banks currently, based on our channel checks. We don't see direct impact on premium payment in MCV business – the whole process requires completion in HK in person. MCV business has operated as usual for the past three weeks. Meanwhile, insurers have cooperated with banks to facilitate account setup.

Please see our report: [Hong Kong/China Insurance: Cross-border Insurance Sales: Why We Think Regulatory Impact Could Be Limited \(3 Jun 2026\)](#)

Exhibit 4: Regulatory files and actions over the past decade by mainland China and HK regulators

Mainland China		
Date	Document	Key content
April 2016	CBIRC: Risk Warning on Mainland Residents Purchasing Insurance in Hong Kong	Mainland residents must travel to Hong Kong in person and sign insurance contracts in Hong Kong; policies signed within mainland China are illegal and protected by neither mainland nor Hong Kong law.
Sep 2016	CBIRC Guangdong branch: Notice on Strengthening Supervision of Illegal Sales of Overseas Insurance Products	Strictly prohibits insurance companies, intermediaries, and agents from participating in or assisting the illegal sale of overseas insurance products.
June 2017	CBIRC: Cracking Down on Illegal Agency of Hong Kong Insurance Products by Mainland Institutions	Special rectification campaigns had been taken since 2H16 across over 10 provinces including Shanghai, Guangdong, Shenzhen, and etc, targeting illegal agency and online promotion/sales of HK insurance products;
2019-2021	Local CBIRC issued Administrative Penalties on Cross-border Insurance Sales	CBIRC' local branches include Guangdong and Shanghai imposed administrative penalties on mainland institutions for promoting, recommending, and participating in the sale of overseas insurance products.
July 2023	Guangdong, Hong Kong, Macau, Shenzhen: MOU on Insurance Dispute Mediation Cooperation	Under the regulatory guidance of Guangdong, Shenzhen, Hong Kong, and Macao, the four mediation organizations established liaison, application, joint-mediation, and cross-border insurance dispute resolution mechanisms, focusing on cross-border dispute resolution and the facilitation of consumer protection.
Feb 2024	NAFR: Public Response to the Cross-border Insurance Connect Proposal	NAFR indicated that the timing was not yet mature to directly launch a 'Cross-border Insurance Connect' pilot. NFRA supports Greater Bay Area Insurance Service Centers in providing post-sales services to customers who legally hold Hong Kong/Macao policies.
Oct 2024	NAFR Guangdong branch: Notice on Special Rectification on Illegal Sales of Overseas Insurance Products and Non-compliant Cross-border Insurance Purchase	This special rectification campaign will conduct a comprehensive examination to identify whether insurers or their personnel are involved in, organizing, or facilitating the illegal sale of offshore insurance products, as well as engaging in non-compliant cross-border insurance purchases.
May 2025	PBOC, NAFR: Opinions on Financial Support for Guangzhou Nansha's Comprehensive Cooperation with Hong Kong and Macao	Proposes establishing trading rules to facilitate cross-border insurance business; Supports facilitated claims and renewal services for compliant current-account insurance business; and supports Guangdong, HK, and Macao insurers in lawfully and compliantly cooperating to develop products such as commercial medical insurance, commercial pension annuities, etc.
July 2025	NAFR Hebei branch: Risk Warning on Purchasing Overseas Insurance	Licensed institutions or practitioners who promote, recommend, sell, or organize the purchase of overseas insurance products beyond their authorized scope are illegal; Consumers should prevent 'underground policies' and dispute-resolution risks of overseas policies.
Hong Kong		
Date	Document	Key content
July 2016	HKIA: Important Facts Statement for Mainland Policyholder (IFS-MP) and Circular	Mainland residents must sign a declaration when purchasing a individual/life insurance policy in HK, with alert in related risks and source-of-funds verification; Sales activities must be in HK, and application documents must be signed in HK; Direct sales personnel must be licensed in HK
Jan 2023	HKIA Circular: Conduct Supervision and the New Year Ahead	HKIA reiterated that sales activities involving MCVs must take place in HK, and that insurers, agencies, and brokers must train and supervise their sales personnel against unlicensed solicitation in the mainland.
May 2023	HKIA Consumer Column: 'Important Lessons for Prospective Policyholders from Mainland China'	Premiums should be paid directly to the authorized insurer; Compliant licensed agents should not illegally solicit business in mainland; and consumers should verify licenses before the deal. If solicitation actually occurred in mainland, the resolution of post-policy disputes may be affected.
April 2024	HKIA and ICAC's First Joint Operation: Crackdown on Suspected Unlicensed Insurance Sales to Mainland Visitors	HKIA and the ICAC conducted a joint operation against suspected unlicensed insurance sales to mainland customers and related corruption, searching the premises of insurance brokers and referral companies, with several persons arrested.
May 2024	HKIA: Action Against Non-compliant Business Models That Incentivize Unlicensed Selling of Long Term Insurance Policies to MCVs	Unlicensed referrers must not provide regulated advice, sell, or arrange insurance sales; Prohibition on undocumented rebates of premium and commission on long term insurance products;
June 2024	HKIA Article: Avoid Falling Prey to Unlicensed Insurance Selling	HKIA warns that unlicensed selling is a criminal offence toward which HKIA adopts a zero-tolerance stance. Consumers should verify licenses and confirm identities with the insurer or broker.
June 2026	HKIA's Response on Cross-border Insurance Applications	HKIA emphasizes that MCVs are specially required to sign a separate 'Important Facts Statement' when applying for insurance in HK to ensure all sales activities take place in HK and that all application documents are signed in HK. Insurers must collect supporting documents (e.g., immigration entry records) to prove that MCVs were genuinely in HK at the time of application.

Source: CBIRC, NAFR, HKIA, Morgan Stanley Research

How information disclosure and the US\$50,000 FX exchange quota will be affected

Disclosure of tax and other information is a totally separate issue

Some investors might be confused by the tightening of overseas tax collection by onshore authorities in recent years with the new State Council Regulation. In fact, we think stricter enforcement of tax collection is an ongoing trend already happening, and there has not been much new information from the recent State Council Outbound Investment Regulation.

The State Council regulation requires investors to complete approval/filing, information reporting, and cross-border fund registration procedures where required, submit truthful materials, and cooperate with supervision. It also states that FX, trade, cross-border data, tax collection, SOE supervision, and other matters remain governed by existing laws and regulations. This suggests a codification of existing practice rather than anything new.

From banks' perspective, this type of disclosure and verification is already embedded in ordinary cross-border transaction compliance: KYC, source-of-funds checks, transaction monitoring, FX documentation and tax-related documentation. Therefore, formalizing tax and information requirements may actually help reduce grey area practices and protect legitimate institutions with better compliance systems.

Individuals, rather than financial firms, are liable for misuse of annual FX exchange quota, with potential suspension of this quota as penalty

Based on the PBOC and SAFE's rules on personal FX management, the US\$50,000 annual quota is only available for current account transactions such as traveling or studying abroad. Usage for capital account transactions such as investing in overseas securities is not allowed.

Individuals who are found to misuse the annual FX exchange quota will be added to a Watch List by SAFE for a period of two years, and their subsequent FX exchange transactions will face a much higher level of verification requirement by the banks – essentially making it more inconvenient. Hence, this is effectively a penalty applied to the individuals while financial firms are not liable.

AIA, HSBC, and Standard Chartered stocks have overreacted; we see HKEX as a long-term beneficiary

We believe the tech and industrial upgrades will continue to help Chinese companies gain global market share and generate wealth in both the Chinese domestic market and overseas markets for both companies and households. We believe Hong Kong has a key competitive advantage in attracting China-related wealth creation, which – together with legal capital account flow from mainland China – will continue to drive healthy business growth for major financial firms in Hong Kong.

Insurance – not the key focus

We think the regulatory tightening targets cross-border investment accounts and stock trading, not MCV insurance sales. Cross-border insurance sales is a different activity from cross-border securities investment/trading, and HKIA has maintained continued communications with mainland regulators and continues to emphasize compliant MCV insurance sales activities. Bank account setup remains available for MCVs at most Hong Kong banks based on channel checks, and insurers' cooperation with banks can facilitate account setup.

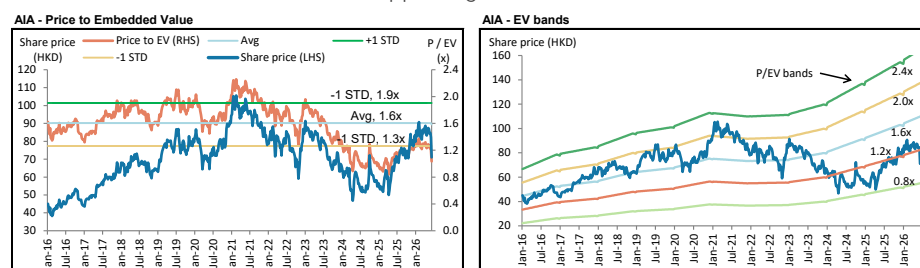
AIA Group (1299.HK): Appealing valuation after correction

AIA's share price corrected ~13% over the past five trading days (vs. -4.1% for the Hang Seng Index), mainly in response to concerns about regulatory clampdown on MCV insurance business, whereas we think impact is limited. Based on our calculation, even with no new MCV from 2H26 and onward, impact on EV, CSM, and OPAT could be manageable at 2-6% declines in FY27-28E – something that we do not expect to happen.

We see some potential increase in demand for HK insurance policies. In 3Q26, we think that CI (critical illness) product definition changes in HK could trigger higher protection demand, which we believe could benefit AIA. We see still solid fundamentals at AIA with appealing valuation at 1.09x 2026E P/EV (1.03x 12-month forward P/EV), or 1.9x 2026E VNB multiple. Considering this, we believe its share price could be resilient even without buybacks. We remain Overweight on AIA.

- Please see our report: [AIA Group Ltd: MCV Concerns Overstated, Valuation Appealing \(10 Jun 2026\)](#)

Exhibit 5: AIA's valuation is more appealing



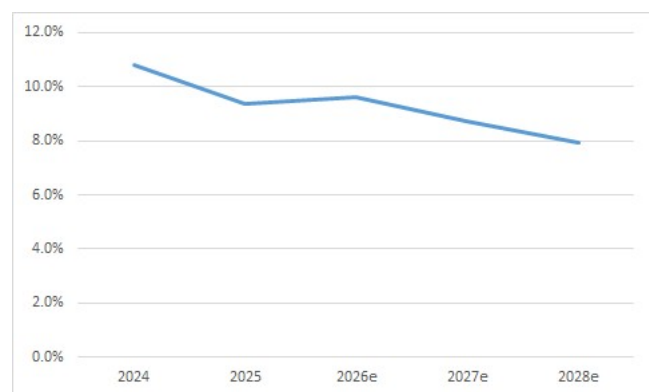
Source: company data, FactSet, Morgan Stanley estimates

Hong Kong banks – limited negative impact on investment account flow; savings accounts less affected

The direct impact for banks in general is on securities investment-related account services that facilitate illegal cross-border securities/futures/fund investment – it's not a blanket ban on Hong Kong bank deposit accounts. The CSRC plan asks the NFRA to meet banks providing account services for illegal cross-border securities/futures/fund investment and requires SAFE to guide banks to strengthen compliance review for FX remittances. Our view is that HSBC and Standard Chartered both operate well within regulatory guidelines and are unlikely to be materially affected.

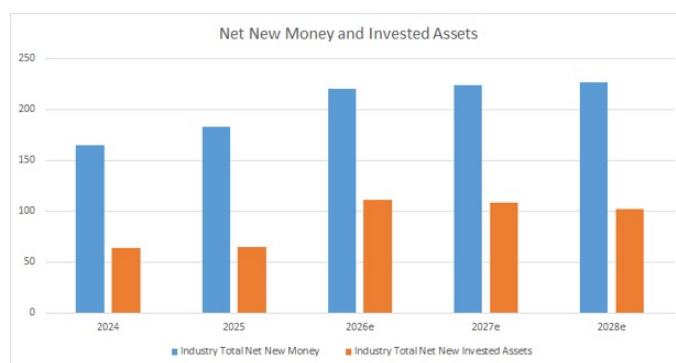
Existing forecasts for wealth management growth are conservative, with our estimates implying stable net new money flows from 2026-2029 and falling net new money as a percentage of outstanding AUM. In fact, in order to hit these targets – and assuming continued growth in domestic and other non-global Chinese AUM – global Chinese net new money flows would have to slow (including funds already offshore). In addition, we note continued build-out of distribution networks (RMs, wealth centres), upgrading lower-tier accounts and increased product penetration of existing clients as potential sources of additional growth.

Exhibit 6: Net new money as a percentage of outstanding AUM



Source: Company Reports, e= Morgan Stanley Research estimates. Universe is HSBC, Standard Chartered, DBS, OCBC and UOB

Exhibit 7: Net New AUM and Invested Asset forecasts



Source: Company Reports, Morgan Stanley Research. Total NNM for DBS, UOB, OCBC, HSBC and Standard Chartered. Only HSBC and Standard Chartered disclose net new invested assets on a consistent basis.

Given undemanding valuations and expected capital repatriations to shareholders, we see the recent selloff as overdone. We have an OW rating on 2888.HK and 0005.HK. We are OW on STAN.L and EW on HSBA.L in London.

HKEX — long-term beneficiary

We see long-term support for HKEX from the shift toward formal channels. The CSRC-led plan explicitly guides mainland investors toward legal channels including Southbound Stock Connect, QDII and Cross-boundary Wealth Management Connect, which supports regulated, transparent Hong Kong market access rather than grey-channel offshore brokers.

Brokers — consolidation toward formal flows

We think onshore brokers will generally face neutral impact from the regulatory tightening on cross-border trading. This is because these brokers largely rely on onshore revenues and have diversified across A-share stock brokerage, margin, investment banking, asset management and proprietary trading and derivatives.

Futu/online brokers — share price already digested the cleanup impact with growth intact

We think the debate about broader regulatory implications for cross-border flows is no longer relevant for Futu's stock. We believe investors have already written off the part of client assets (17%) and revenue (20%) from mainland customers.

HK should still offer large untapped potential for growth. The firm has <2% share in investable assets despite close to 1mn customers, and it is evolving its offerings to an integrated one-stop wealth management platform. Overseas markets should drive a bigger share of growth: overseas assets have grown almost six-fold over the past two years, to 24% of total client assets, making up >30% of net asset inflows recently. In addition, new initiatives on crypto and prediction markets offer potential long-term optionality to sustain the growth story.

Therefore, we think that the firm's earnings could rebase in 2026e (-18%), but will get back to 25-29% annual growth in the next two years. This should be the basis to drive re-rating, especially without regulatory overhang.

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/10/2026)
Chiyao Huang		
China International Capital Corp. Ltd. (3908.HK)	O (02/28/2025)	HK\$19.11
China Merchants Securities Co Ltd (600999.SS)	U (09/29/2022)	Rmb17.20
China Merchants Securities Co Ltd (6099.HK)	U (10/29/2024)	HK\$15.33
CITIC Securities Co. (6030.HK)	E (10/29/2024)	HK\$25.06
CITIC Securities Co. (600030.SS)	O (08/07/2025)	Rmb25.66
East Money Information Co Ltd (300059.SZ)	E (09/19/2025)	Rmb17.78

Futu Holdings Ltd (FUTU.O)	O (11/18/2024)	US\$91.31
Galaxy Securities (6881.HK)	E (02/27/2020)	HK\$7.65
Galaxy Securities (601881.SS)	U (09/29/2022)	Rmb12.07
GF Securities (000776.SZ)	E (08/07/2025)	Rmb19.06
GF Securities (1776.HK)	E (01/06/2023)	HK\$16.25
HTSC (601688.SS)	E (09/23/2024)	Rmb19.37
HTSC (6886.HK)	E (09/23/2024)	HK\$16.62
Richard Xu, CFA		
Agricultural Bank of China Limited (601288.SS)	E (05/07/2019)	Rmb6.71
Agricultural Bank of China Limited (1288.HK)	O (10/19/2020)	HK\$5.80
Bairong Inc. (6608.HK)	E (09/09/2025)	HK\$5.48
Bank of Beijing Co Ltd (601169.SS)	E (08/17/2022)	Rmb5.20
Bank of Chengdu Co Ltd (601838.SS)	O (08/17/2022)	Rmb19.80
Bank of China Limited (601988.SS)	E (05/07/2019)	Rmb6.22
Bank of China Limited (3988.HK)	O (01/10/2020)	HK\$5.42
Bank of Communications (3328.HK)	U (05/20/2022)	HK\$7.49
Bank of Communications (601328.SS)	U (09/05/2014)	Rmb6.94
Bank of Hangzhou Co Ltd (600926.SS)	E (08/17/2022)	Rmb16.61
Bank of Ningbo Co. Ltd (002142.SZ)	O (08/17/2022)	Rmb32.70
China CITIC Bank Corporation Limited (601998.SS)	E (04/16/2025)	Rmb7.69
China CITIC Bank Corporation Limited (0998.HK)	O (04/16/2025)	HK\$7.69
China Construction Bank Corp. (0939.HK)	O (10/11/2012)	HK\$8.75
China Construction Bank Corp. (601939.SS)	E (05/07/2019)	Rmb10.49
China Everbright Bank Co Ltd (6818.HK)	U (05/12/2023)	HK\$3.28
China Everbright Bank Co Ltd (601818.SS)	U (05/20/2022)	Rmb3.18
China Merchants Bank (600036.SS)	O (01/07/2019)	Rmb38.90
China Merchants Bank (3968.HK)	O (09/20/2018)	HK\$48.48
China Minsheng Banking Corp. (600016.SS)	O (08/28/2025)	Rmb3.60
China Minsheng Banking Corp. (1988.HK)	O (05/12/2023)	HK\$3.51
Chongqing Rural Commercial Bank (3618.HK)	U (05/12/2023)	HK\$6.59
Hua Xia Bank (600015.SS)	U (06/30/2015)	Rmb6.94
Industrial and Commercial Bank of China (1398.HK)	O (08/09/2013)	HK\$7.00
Industrial and Commercial Bank of China (601398.SS)	E (09/19/2022)	Rmb7.69
Industrial Bank Co. Ltd. (601166.SS)	O (02/25/2019)	Rmb18.89
Lufax (LU.N)		US\$1.34
Ping An Bank (000001.SZ)	O (05/07/2019)	Rmb11.32
Postal Savings Bank of China Co Ltd (1658.HK)	O (11/01/2016)	HK\$5.07
Qifu Technology Inc (QFIN.O)	O (08/25/2020)	US\$14.24
Shanghai Pudong Development Bank (600000.SS)	E (08/05/2025)	Rmb9.59

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